

Opportunity Cost

▼ Is it correct that economists and accountants have different ways of measuring cost?

Yes because cost to an accountant is the direct cost of money paid for something such as the wages paid to the workforce whereas the cost to an economist is the opportunity cost.

▼ What is opportunity cost?

Opportunity cost is defined as the value of the next best alternative foregone or sacrifices when a choice or a decision is made. Because of limited resources, choices must be made as where to allocate resources these choices have a trade-off. The real cost of an economic choice is not the price that is paid but the value of the next best option that was paid but the value of the next best option that was surrendered in the trade-off. When there is no sacrifice or opportunity cost the product is described as a free good.